Notes: Dyck, Volchkova, and Zingales (JF, 2008)

The Corporate Governance Role of the Media: Evidence from Russia

Contents

1 Big picture

- **Question.** Can media coverage discipline corporate insiders and help reverse corporate governance violations when formal legal enforcement is weak?
- **Setting.** The paper studies Russia from late 1998 to mid-2002, a period with frequent and visible expropriation attempts against minority shareholders and weak domestic enforcement institutions.
- **Core empirical object.** The sample contains 98 serious alleged corporate governance violations identified from Troika Dialog's *Bulletin on Corporate Governance Actions*.
- **Central mechanism.** The Anglo-American press, especially the *Wall Street Journal* and the *Financial Times*, can impose reputational and political costs on Russian firms and regulators. Media attention can therefore increase the probability that an attempted violation is reversed or partially redressed.
- **Activist actor.** Hermitage Capital, an activist foreign investor in Russia, appears to increase Anglo-American press coverage of violations in firms in which it held stakes.
- **Main findings.** Firms with international media coverage are much more likely to have violations reversed or partially redressed. The effect is robust to controls and to an IV strategy using Hermitage's pre-period portfolio holdings as an instrument for international press coverage.
- **Why Russia is useful.** Weak courts and extreme violations make the governance role of media easier to observe. The setting reduces confounding from strong legal rights, shareholder litigation, and board mechanisms that dominate in the United States.
- **Channels.** Media coverage appears to work partly by damaging firms' international reputations and partly by forcing Russian regulators and business partners to intervene.
- **Incremental takeaway.** The paper does not merely show that firms with bad governance receive press coverage. It argues that investors can strategically generate coverage, and that this coverage affects governance outcomes.

2 Incremental contribution of the paper

2.1 Contribution relative to corporate governance research

- Earlier corporate governance research often emphasizes legal protection, investor rights, boards, ownership structure, or takeover markets.
- This paper adds the **media** as a distinct governance institution that can operate when courts and formal enforcement mechanisms are weak.
- The paper shows that governance can be enforced indirectly through reputation, public embarrassment, political attention, and the activation of regulators.
- The paper also studies governance violations at the event level rather than relying only on country-level governance indices or cross-sectional firm valuations.

Interpretation: The incremental contribution is to treat media coverage as an active enforcement mechanism, not just a passive information channel.

2.2 Contribution relative to media and finance research

- Prior work often studies whether media coverage affects stock prices, trading volume, or investor attention.
- Dyck, Volchkova, and Zingales study whether media coverage changes **real corporate actions**: whether a governance violation is reversed, partially redressed, or allowed to proceed.

- They distinguish between domestic Russian press coverage and Anglo-American press coverage, showing that international media coverage is especially influential.
- They also show that coverage can be partly generated by activist investors, not only by journalists' independent news selection.

Interpretation: The paper moves media research from asset-price attention effects to governance and real outcomes.

2.3 Contribution relative to hedge fund activism and shareholder activism

- Hedge fund activism research often studies legal tools, board pressure, proxy fights, and restructuring campaigns in developed markets.
- This paper studies a setting where formal tools are weak, so activists rely on media pressure.
- Hermitage's role provides evidence that investors can use the press strategically to discipline insiders.
- The paper helps explain why public shaming campaigns can matter even when activists lack legal control rights.

Interpretation: The paper identifies a mechanism of activism based on information production and public pressure rather than formal voting or litigation power.

2.4 Contribution relative to political economy of weak institutions

- In weak institutional environments, formal enforcement may be unreliable or captured.
- The paper shows that international media can substitute partly for domestic legal institutions by raising the external cost of abuse.
- It also shows that media pressure can mobilize domestic regulators and business partners.
- The paper therefore contributes to the literature on informal institutions, reputational sanctions, and private enforcement.

Interpretation: The paper's distinctive contribution is to show that cross-border reputational pressure can influence corporate governance in emerging markets.

3 Institutional background and empirical setting

3.1 Russian corporate governance after the 1998 crisis

- The study period follows the 1998 Russian financial crisis.
- Minority shareholders frequently faced attempts by controlling shareholders, managers, creditors, and related parties to dilute cash-flow rights or voting rights.
- Common abuses included share issuances to insiders at low prices, reorganizations, asset stripping, bankruptcy manipulations, and disenfranchisement.
- Legal enforcement was weak, making formal litigation an unreliable path for minority shareholder protection.

Interpretation: The setting offers many observable governance violations and makes nonlegal enforcement channels economically important.

3.2 Hermitage Capital

- Hermitage Capital was a foreign investment fund active in Russian equities.
- The fund had incentives to fight expropriation in firms in which it held stakes.
- Hermitage reportedly used public pressure and contact with journalists as part of its strategy.
- The paper uses Hermitage's portfolio composition at the end of 1998 as an ex ante measure of whether Hermitage had incentives to intervene in a company.

Interpretation: Hermitage's pre-period holdings are useful because they predate the main wave of governance violations and active press strategies.

3.3 Troika Dialog Bulletin

- The event sample is based on Troika Dialog's *Bulletin on Corporate Governance Actions*.
- The Bulletin reported potential governance violations and other corporate actions in Russian capital markets.
- The authors read all issues from December 4, 1998 to July 22, 2002.
- They start with 480 events, remove repeats, minor items, government-initiated events, and ambiguous cases, and end with 98 serious alleged governance violations.

Interpretation: The Bulletin provides a quasi-independent source for identifying violations before measuring press coverage and outcomes.

4 Data and measurement

4.1 Types of governance violations

The authors classify violations into seven mutually exclusive categories:

- **Disenfranchisement:** actions that reduce voting rights or prevent shareholders from exercising votes.
- **Share issuance:** deeply discounted issuance to insiders that dilutes outside shareholders.
- **Share swap:** unfavorable exchange terms between a company and subsidiaries.
- **Reorganization:** restructuring that creates scope for self-dealing or dilution.
- **Bankruptcy:** creditor-driven or insider-driven bankruptcy manipulation that reallocates assets away from shareholders.
- **Asset stripping:** transfer of valuable assets or business opportunities to related parties.
- **Other dilution:** residual category for other forms of minority shareholder dilution.

Interpretation: The categorization distinguishes voting-right violations from cash-flow dilution and allows controls for the nature of the abuse.

4.2 Outcome coding

The outcome variable is coded as:

$$Outcome_i = \begin{cases} 0, & \text{violation not redressed,} \\ 1, & \text{partial redress,} \\ 2, & \text{substantial redress or reversal.} \end{cases} \tag{1}$$

- A value of zero means the proposed action went through and there was no meaningful governance response.
- A value of one means minority shareholders' concerns were partly addressed.
- A value of two means the violation was reversed, materially changed, or followed by major governance reforms.

Interpretation: This ordered outcome captures whether pressure had a real effect on corporate governance, not just whether there was public attention.

4.3 Media coverage variables

- The main international coverage variable counts articles in the *Wall Street Journal* and *Financial Times* from month $T-1$ to month $T+2$ around the violation.
- The authors read articles mentioning the company and retain only those referring to the alleged violation.
- Domestic media variables count coverage in Russian outlets such as *Kommersant*, *Izvestia*, *Vedomosti*, and other Russian press sources.
- Natural newsworthiness is measured as coverage in the *Wall Street Journal* and *Financial Times* from January to June 1998, before the main sample period.

Interpretation: The event-specific press measure is carefully filtered to capture coverage of the violation itself, while pre-period newsworthiness controls for baseline visibility.

4.4 Severity and visibility controls

- **Maximum loss due to dilution:** estimated percentage loss to minority shareholders if the violation succeeds.
- **Maximum loss due to disenfranchisement:** ordinal severity score from 1 to 3.
- **Foreign ownership:** percentage of stock held by foreign investors.
- **EBRD dummy:** equals one if EBRD financed the firm before the violation.
- **Log assets:** log book value of fixed assets in 1999.
- **Oil industry dummy:** equals one for oil industry firms.
- **Hermitage stake:** whether Hermitage held a stake based on its 1998 portfolio composition.

Interpretation: Controls address the concern that more visible or more severe cases are both more covered and more likely to be reversed.

5 Empirical specifications

5.1 Determinants of international press coverage

The first-stage media-coverage regression is:

$$\log(1 + Articles_i) = \alpha + \beta Hermitage_i + \gamma' X_i + \delta' ViolationType_i + \eta Severity_i + \varepsilon_i. \tag{2}$$

- $Articles_i$ is coverage in the *Wall Street Journal* and *Financial Times*.
- $Hermitage_i$ measures Hermitage's pre-period stake or portfolio exposure.
- X_i includes visibility controls such as size, foreign ownership, EBRD involvement, oil dummy, and natural newsworthiness.
- Violation-type dummies and severity measures control for intrinsic news value.

Interpretation: If Hermitage strategically pushes stories to international journalists, $\beta > 0$.

5.2 Outcome regression

The baseline ordered outcome model is:

$$Outcome_i^* = \alpha + \beta Coverage_i + \gamma' X_i + \delta' ViolationType_i + \eta Severity_i + u_i, \tag{3}$$

with observed $Outcome_i \in \{0, 1, 2\}$ determined by thresholds.

Interpretation: A positive β means media coverage increases the probability of partial or full redress.

5.3 Binary outcome version

Some specifications collapse partial and full redress:

$$PositiveOutcome_i = \mathbf{1}\{Outcome_i \geq 1\}. \tag{4}$$

Interpretation: The binary specification asks whether media coverage produces any meaningful response, while the ordered specification preserves the distinction between partial and full reversal.

5.4 Instrumental variables strategy

The IV strategy uses Hermitage's 1998 portfolio exposure as an instrument for international media coverage:

$$Coverage_i = \pi_0 + \pi_1 Hermitage_i + \pi_2' X_i + v_i, \tag{5}$$

$$Outcome_i = \alpha + \beta \widehat{Coverage}_i + \gamma' X_i + u_i. \tag{6}$$

Interpretation: The exclusion restriction is that Hermitage's pre-period holdings affect redress mainly through their effect on press coverage, not through unobserved violation-specific reversal probability.

5.5 Hazard model for timing of reversal

The paper also estimates a Cox proportional hazard model:

$$h_i(t) = h_0(t) \exp\{\beta Stories_i(t) + \gamma' X_i\}. \tag{7}$$

- $Stories_i(t)$ is the cumulative number of Anglo-American press stories up to month t.
- The dependent variable is the timing of reversal or partial redress.
- This specification tests whether coverage accelerates reversal.

Interpretation: The hazard model shifts the question from whether a violation is reversed to how quickly it is reversed.

6 Identification and empirical design

6.1 Main identification challenge

- A simple correlation between media coverage and reversal is not automatically causal.
- Journalists may cover violations that are already likely to be reversed.
- More severe or visible violations may both attract press and trigger regulatory responses.
- Hermitage may select firms where it expects governance improvements.

Interpretation: The paper responds by using visibility controls, violation-type controls, severity measures, and Hermitage's pre-period portfolio as an instrument.

6.2 Why Hermitage's 1998 portfolio helps

- The 1998 Hermitage portfolio predates most violations in the sample.
- It predates the fund's major media strategy.
- It reflects incentives to intervene if a violation occurs in a portfolio company.
- It is plausibly less correlated with event-specific reversal probability than contemporaneous holdings.

Interpretation: The instrument is not perfect, but it strengthens the causal case by using predetermined activist exposure.

6.3 Domestic versus international press

- The paper distinguishes Russian domestic press from Anglo-American press.
- International coverage appears more effective in changing outcomes.
- One interpretation is that international coverage affects reputation abroad and pressures regulators through external scrutiny.
- Another is that international outlets have credibility with foreign investors and global business partners.

Interpretation: The distinction between domestic and international media is crucial because it shows that not all publicity has the same governance effect.

6.4 Learning and deterrence

- The paper examines whether the frequency of violations declines over time, especially for firms in which Hermitage held stakes.
- If insiders learn that media pressure is costly, they may reduce future violations.
- Figure 1 shows a decline in governance violations across the sample period.

Interpretation: The media may work both ex post by reversing violations and ex ante by deterring future violations.

7 Tables and figures

7.1 Table I: variable definitions and sources

Read:

- Table I defines the violation categories, loss variables, outcome coding, media coverage, newsworthiness, ownership, EBRD involvement, assets, and Hermitage stake.
- It shows that the empirical design combines event coding, press searches, ownership data, and firm characteristics.

Economic message: The table clarifies that the authors' analysis is built from manually coded governance events, manually screened media coverage, and carefully defined controls.

Table I
Variable Definitions and Sources

ariable	Definition	Source
ype of governance violation	Based on a reading of the event reported in Troika Dialog's *Bulletin on Corporate Governance Actions* and news stories about the event in Russian and English news sources, we code seven mutually exclusive categories of alleged violation, which include disenfranchisement and six types of dilution (Share Issuance, Share Swap, Reorganization, Bankruptcy, Asset Stripping, and Other).	Troika Dialog's *Bulletin on Corporate Governance Actions* plus Russian and English news sources in Factiva.
[aximum loss due to dilution	The maximum potential loss variable assumes the proposed action went through and the worst fears were realized for minority shareholders.	Federal Commission on Security Market Disclosure project, and Troika Dialog *Bulletin on Corporate Governance Actions*.
[aximum loss due to disen-franchisement	When the action is a disenfranchisement, we use a three-point scale from lowest (1) to highest (3) severity of the potential loss.	Same as above.
utcome of potential governance violation	For each alleged violation we code the outcome equal to zero if it was not redressed at all, one if partially redressed, and two if substantially redressed.	Troika Dialog's *Bulletin on Corporate Governance Actions* plus Russian and English news sources in Factiva.
ews coverage of alleged governance violation	The number of articles in English newspapers (*WSJ* and *FT*) and in Russian papers (*Kommersant*, *Izvestia,* and *Vedemosti*) is based on a count of the number of articles mentioning a company in the specified newspaper during the period from month T−1 to T+2 around the date of the alleged violation. We read the complete text of all articles with the company name, and retain only those articles that make a reference to the alleged violation.	Factiva, ISI Emerging Markets.

Table I—*Continued*

ıber of articles mentioning a company in the English ·wspapers (*WSJ* and *FT*) in a period prior to the violation and fore the Russian currency crisis, which we define as January to .ly 1998.	Factiva, ISI Emerging Markets.
›ortion of stock held by foreign investors.	Official recording of the identities of all shareholders with a stake of 5 % or more, collected by the Federal Commission on Security Market Disclosure Project and complemented with accounts in the business press (Russian and English) and in Troika Dialog's *Bulletin on Corporate Governance Actions*.
ımy variable equal to one if the EBRD has provided loan ıancing to the company prior to committing the infraction.	*EBRD Investments: 1991-2004*, which lists loans by company and date.
of assets is the log of book value of fixed assets in 1999.	Federal Commission on Security Market Disclosure Project.
ımy variable indicating whether Hermitage Capital had a stake the company based on their reported portfolio composition at e end of 1998, the earliest available date for the Hermitage ınd.	Hermitage Fund Consolidated Financial Statements, 1998.

Table I, part 1: event and media variables

Table I, part 2: ownership and visibility controls

7.2 Table II: summary statistics

Read:

- The mean outcome is 0.43, showing that many violations were not redressed.
- The average firm has 13% foreign ownership and 12% have an EBRD stake.
- The mean number of FT/WSJ articles is 0.71, while Russian press coverage is more frequent.
- Disenfranchisement accounts for 32% of the sample, and share issuance accounts for 29%.
- The average maximum loss due to dilution is 0.57 among dilution events, and the average disenfranchisement severity is 2.06 among disenfranchisement cases.

Economic message: The sample contains serious violations, not minor disputes. It also shows that international coverage is sparse, making its effect meaningful if statistically important.

7.3 Table III: determinants of press coverage

Read:

- Natural newsworthiness and firm size are important determinants of coverage.
- Hermitage ownership is positively related to Anglo-American press coverage.

Table II
Summary Statistics

is table reports summary statistics for variables included in Tables III to VIII. Foreign ownership is the proportion of stock held by foreign investors. 3RD is a dummy variable equal to one if the EBRD has provided loan financing to the company prior to committing the infraction. Log of assets is e log of fixed assets for 1999 in thousands of rubles (exchange rate = 22.3 rubles per $). The oil industry dummy identifies firms in the oil and gas lustry. The number of articles is based on a count in the period from month T–1 to T+2 around the proposed violation. The measures of natural wsworthiness are based on the same publications in January to July 1998. We include seven mutually exclusive categories of alleged violation, iich include disenfranchisement and six types of dilution (Share Issuance, Share Swap, Reorganization, Bankruptcy, Asset Stripping, and Other). e maximum potential loss variable assumes the proposed actions went through and the worst fears were realized for minority shareholders. When e violation is a disenfranchisement, we use a three-point scale from lowest (1) to highest (3) severity of the potential loss.

itcome	Mean	Median	Standard Deviation	Minimum	Maximum	Number of Observations
reign ownership	0.13	0.1	0.16	0	0.84	98
immy for EBRD stake	0.12	0	0.33	0	1	98
g assets	14.88	14.87	1.99	10.07	20.9	98
l industry dummy	0.01	0	0.02	0	1	98
icles in FT & WSJ	0.71	0	2.18	0	16	98
g of (1+ articles in FT+WSJ)	0.25	0	0.6	0	2.83	98
itural newsworthiness (log of (1+ articles in FT+WSJ) January–July 1998)	0.5	0	1.1	0	4.71	98
g of (1+ articles in *FT*)	0.2	0	0.5	0	2.48	98
g of (1+ articles in *WSJ*)	0.12	0	0.36	0	1.79	98
g of (1+ articles in Russian press)	0.77	0.69	0.77	0	3.56	98
g of (1+ articles in *Vedomosti*)	0.43	0	0.56	0	2.64	98
pe of dilutions						
are issuance	0.29	0	0.45	0	1	98
are swap	0.11	0	0.32	0	1	98
nkruptcy	0.1	0	0.3	0	1	98
organization	0.06	0	0.24	0	1	98
set stripping	0.02	0	0.14	0	1	98
her forms of dilutions	0.1	0	0.3	0	1	98
senfranchisement	0.32	0	0.47	0	1	98
iximum loss in dilution	0.57	50	0.33	5	100	63
iximum loss in disenfranchisement	2.06	2.0	0.77	1	3	31

Table III
The Determinants of Press Coverage

The dependent variables are different measures of news coverage. In the first two columns it is the log of one plus the number of articles in the *Financial Times* and the *Wall Street Journal* in the period from month T−1 to T+2 around the date of the alleged violation. In the third column the dependent variable is one plus the number of articles in the *Financial Times* during the same period. In the last column it is one plus the number of articles in the *Wall Street Journal* during the same period. Newsworthiness is the log of the number of references to a company in the *WSJ* and *FT* in the 6-month period from January to the end of June 1998. Hermitage is the percentage of Hermitage portfolio invested in the company as of the end of 1998. All the other control variables are defined in Table I. When the violation takes the form of a disenfranchisement, we use a three-point scale from lowest (1) to highest (3) severity of the potential loss. All the estimates are obtained by OLS. Huber-White robust standard errors are reported in brackets. *,**, and *** mean significant at the 10%, 5%, and 1% level, respectively.

	Log of (1+ Articles in FT and WSJ)		Log of (1+ Articles in FT)	Log of (1+ Articles in WSJ)
	I	II	III	IV
Natural "newsworthiness"	0.248***	0.128	0.163*	(0.020)
	(0.080)	(0.092)	(0.082)	(0.052)
Percentage of Hermitage assets Invested in the company (1998)		11.340**	6.295	11.285***
		(5.486)	(4.674)	(3.445)
Foreign ownership (%)	0.555	0.572*	0.344	0.309*
	(0.341)	(0.301)	(0.252)	(0.185)
EBRD as an investor dummy	0.030	0.126	0.147	−0.025
	(0.182)	(0.175)	(0.148)	(0.113)
Log of assets	0.087***	0.049*	0.044*	0.014
	(0.032)	(0.026)	(0.022)	(0.017)
Dummy for oil industry	0.189	0.222*	0.175*	0.106
	(0.126)	(0.123)	(0.098)	(0.081)
Controls for nature of violation				
Share issuance dummy	−0.059	−0.029	−0.02	−0.006
	(0.179)	(0.170)	(0.147)	(0.101)
Share swap dummy	0.111	0.116	0.100	0.124
	(0.339)	(0.344)	(0.292)	(0.192)
Bankruptcy dummy	−0.028	−0.006	0.023	0.01
	(0.258)	(0.252)	(0.215)	(0.137)
Reorganization dummy	−0.171	−0.213	−0.147	−0.061
	(0.244)	(0.221)	(0.190)	(0.123)
Asset stripping dummy	−0.274	−0.628***	−0.326*	−0.514***
	(0.261)	(0.208)	(0.180)	(0.130)
Other form of dilution dummy	−0.323	−0.403	−0.262	−0.176
	(0.340)	(0.318)	(0.272)	(0.188)
Maximum loss due to dilution	0.001	0.001	0.001	0.000
	(0.002)	(0.002)	(0.002)	(0.001)
Maximum loss due to disenfranchisement	−0.07	−0.068	−0.049	−0.039
	(0.069)	(0.061)	(0.055)	(0.031)
Observations	94	94	94	94

- The coefficient on Hermitage exposure is large and statistically significant in the combined FT/WSJ measure.
- Asset stripping receives less coverage in some specifications.

Economic message: Hermitage appears able to increase international press coverage beyond what would be predicted by firm visibility and violation characteristics alone.

7.4 Table IV: international press coverage and outcomes

Read:

- Among violations covered by international press, 59% have positive outcomes.
- Among violations not covered by international press, only 22% have positive outcomes.
- The Wilcoxon rank-sum test rejects equality of outcomes across covered and uncovered cases.
- Firms in which Hermitage held a stake have a 45% positive outcome rate.

Economic message: The raw correlation is striking: international media coverage is associated with a much higher probability of redress.

7.5 Table V: effect of press coverage on outcomes

Read:

- Panel A uses ordered logit models of the outcome variable.

Table IV

International Press Coverage and Outcomes

This table summarizes two key features of our sample of 98 observations: whether there was coverage in the international press and the type of outcome. The variable media coverage in the international press takes on the value one if there was any coverage in the *Wall Street Journal* or *Financial Times* in the period from month T−1 to T+2 around the date of the alleged violation and zero otherwise. In this table we group together outcomes coded as one (partial redress) and two (full redress) as positive outcomes.

	Positive Outcome: Partially or Fully Blocked	Negative Outcome: Not blocked	Total Number of Observations	Percentage of Observations with Positive Outcome
Media coverage in the international press	10	7	17	*0.59*
No media coverage in the international press	18	63	81	*0.22*
Total	28	70	98	*0.29*
Companies in which Hermitage Fund has a stake	9	11	20	*0.45*

Two-sample Wilcoxon rank-sum (Mann-Whitney) test.
Null hypothesis outcome (coverage = = 0) = outcome (coverage = = 1).

Table V

The Effect of Press Coverage on Outcomes

The dependent variable is the outcome of the proposed governance violation. This outcome variable is equal to zero if the potential governance violation was not redressed at all, one if partially redressed, and two if substantially redressed. The estimations are obtained using an ordered logit. In Column 4 of Panel A we group outcomes one and two and we run a simple logit. The number of articles is based on a count in the period from month T−1 to T+2 around the date of the alleged violation. News coverage in English is a dummy variable that takes the value one if there was any news coverage and zero otherwise. Newsworthiness is measured as the log of one plus the number of references to a company in the *Wall Street Journal* and *Financial Times* in the 6-month period from January to the end of June 1998. All the other control variables are defined in Table I. Huber-White robust standard errors are reported in brackets. *,**, and *** mean significant at the 10%, 5%, and 1% level, respectively.

Panel A

	1	2	3	4	5	6
Total English articles between months T−1 to T+2		0.522***				
		(0.153)				
News coverage in English dummy (months T−1 to T+2)			1.725***			
			(0.633)			
Log of (1+ articles in *Financial Times* or *Wall Street Journal*)				1.644***	1.569***	1.956***
				(0.425)	(0.505)	(0.725)
Natural "newsworthiness"					0.074	0.056
					(0.250)	(0.337)
Foreign ownership (%)	0.021	−0.358	−1.034	−0.886	−0.829	−0.87
	(1.906)	(1.971)	(2.065)	(1.982)	(1.974)	(1.737)
EBRD as an investor dummy	0.876	1.198*	0.815	1.024	1.059	1.994**
	(0.658)	(0.669)	(0.668)	(0.668)	(0.691)	(0.876)
Log of assets	0.134	−0.15	−0.042	−0.168	−0.18	−0.191
	(0.158)	(0.153)	(0.139)	(0.151)	(0.160)	(0.175)
Dummy for oil industry	−0.283	−0.677	−0.675	−0.866	−0.862	−0.708
	(0.739)	(0.806)	(0.767)	(0.812)	(0.804)	(0.730)
Controls for nature of violation						
Share issuance dummy	0.003	−0.004	0.123	0.154	0.142	−0.11
	(1.292)	(1.369)	(1.349)	(1.369)	(1.373)	(1.491)
Share swap dummy	−1.325	−2.185	−1.227	−1.785	−1.753	−2.183
	(1.544)	(1.833)	(1.529)	(1.679)	(1.670)	(1.914)
Bankruptcy dummy	−0.731	−1.188	−0.327	−0.775	−0.784	−0.589
	(1.572)	(1.756)	(1.706)	(1.784)	(1.785)	(1.792)
Reorganization dummy	−0.447	−0.689	0.054	−0.282	−0.307	0.078
	(1.655)	(1.773)	(1.744)	(1.773)	(1.782)	(1.889)
Asset stripping dummy	2.122	2.300	2.818*	2.712*	2.684*	
	(1.471)	(1.456)	(1.506)	(1.435)	(1.435)	
Other form of dilution dummy	0.302	0.095	0.988	0.731	0.690	0.152
	(1.402)	(1.503)	(1.391)	(1.367)	(1.372)	(1.672)
Maximum loss due to dilution	0.020*	0.023*	0.016	0.019	0.019	0.024*
	(0.012)	(0.014)	(0.014)	(0.014)	(0.014)	(0.013)
Maximum loss due to disenfranchisement	0.281	0.431	0.379	0.493	0.486	0.349
	(0.547)	(0.609)	(0.596)	(0.612)	(0.612)	(0.606)

- Total English articles and English media dummy variables enter positively and significantly.
- Coverage in the *Financial Times* or *Wall Street Journal* is associated with higher probability of redress even after visibility, severity, and violation-type controls.
- Panel B separates types of coverage and shows that Anglo-American coverage is more important than Russian coverage.
- Panel C examines audience versus credibility by comparing *Vedomosti*, other Russian papers, and Anglo-American press.

Economic message: The regression evidence supports the causal interpretation more strongly than the raw comparison in Table IV: international press coverage remains important after controls.

Table V—*Continued*

Panel B. Different Types of Coverage

	1	2
Natural "newsworthiness"	0.452**	0.161
	(0.219)	(0.270)
Log of (1+ articles in Russian newspapers)	−0.017	
	(0.359)	
Log of (1+ # articles in *Financial Times*)		0.653
		(0.739)
Log of (1+ # articles in *Wall Street Journal*)		1.874**
		(0.864)
Foreign ownership (%)	0.163	−0.795
	(1.884)	(2.058)
EBRD as an investor dummy	1.131*	1.302*
	(0.616)	(0.704)
Log of assets	−0.02	−0.172
	(0.160)	(0.162)
Dummy for oil industry	−0.419	−0.773
	(0.764)	(0.781)
Controls for nature of violation		
Share issuance dummy	−0.125	0.202
	(1.318)	(1.397)
Share swap dummy	−1.356	−1.855
	(1.585)	(1.678)
Bankruptcy dummy	−0.835	−0.759
	(1.616)	(1.764)
Reorganization dummy	−0.656	−0.514
	(1.725)	(1.835)
Asset stripping dummy	2.022	2.745*
	(1.448)	(1.492)
Other form of dilution dummy	0.058	0.502
	(1.423)	(1.388)
Maximum loss due to dilution	0.021	0.021
	(0.013)*	(0.013)*
Maximum loss due to disenfranchisement	0.291	0.483
	(0.607)	(0.625)
Observations	94	94

Panel C. Audience vs. Credibility

	I	II	III
Natural "newsworthiness"	0.443*	0.416	0.091
	(0.227)	(0.264)	(0.255)
Log of (1+ articles in *Vedemosti*)	−0.142	−0.19	−0.239
	(0.510)	(0.540)	(0.522)
Log of (1+ # articles in other Russian newspapers)		0.117	−0.787
		(0.360)	(0.703)
Log of (1+ # articles in *Financial Times* or *Wall Street* Journal)			2.318**
			(0.928)

(*continued*)

Table V, continued: Panels B/C first part

Table V—*Continued*

	I	II	III
Foreign ownership (%)	0.056	−0.107	−0.480
	(1.888)	(1.913)	(2.218)
EBRD as an investor dummy	1.134*	1.130*	1.173*
	(0.612)	(0.618)	(0.656)
Log of assets	−0.009	−0.018	−0.153
	(0.160)	(0.160)	(0.157)
Dummy for oil industry	−0.443	−0.44	−1.243
	(0.769)	(0.766)	(0.924)
Controls for nature of violation			
Share issuance dummy	−0.163	−0.154	0.167
	(1.303)	(1.301)	(1.326)
Share swap dummy	−1.361	−1.383	−1.536
	(1.562)	(1.559)	(1.661)
Bankruptcy dummy	−0.876	−0.892	−0.674
	(1.609)	(1.615)	(1.782)
Reorganization dummy	−0.689	−0.701	−0.074
	(1.734)	(1.745)	(1.781)
Asset stripping dummy	2.017	2.090	2.551*
	(1.452)	(1.426)	(1.545)
Other form of dilution dummy	0.064	0.120	0.758
	(1.452)	(1.446)	(1.446)
Maximum loss due to dilution	0.021*	0.021	0.024
	(0.013)	(0.013)*	(0.016)
Maximum loss due to disenfranchisement	0.296	0.270	0.849
	(0.584)	(0.601)	(0.681)
Observations	94	94	94

Table V, continued: Panel C final part

7.6 Table VI: instrumental variable estimates

Read:

- Table VI compares OLS and IV estimates.
- The instrument is Hermitage's 1998 portfolio exposure.
- The IV estimate of Anglo-American coverage is positive and statistically significant.
- The IV coefficient is larger than the OLS coefficient, suggesting that attenuation or selection may understate the media effect in OLS.

Economic message: The IV result is central to the paper's causal claim: media coverage is not merely correlated with redress; it appears to help cause redress.

7.7 Table VII: hazard estimates of the probability of reversal

Read:

- The cumulative number of Anglo-American stories enters positively and significantly.
- The coefficient is about 1.12 for resolution within six months and 1.10 for resolution within twelve months.
- The result implies that coverage accelerates the timing of redress.

Economic message: Media coverage affects not only whether redress happens but also how quickly it happens.

Table VI

The Instrumental Variable Estimates

In this table we again look at outcome as the dependent variable. Outcome is defined to be equal to zero if the potential governance violation was not redressed at all, one if partially redressed, and two if substantially redressed. Column 1 is estimated by OLS. Column 2 is estimated by Instrumental Variables (IV), where the instrument for the log of the number of articles in the *FT* and *WSJ* is the percentage of Hermitage portfolio invested in a company at the end of 1998. Newsworthiness is measured as the log of one plus the number of references to a company in the *Wall Street Journal* and *Financial Times* in the 6-month period from January to the end of June 1998. We define control variables in Table I. All the estimates are obtained by OLS. Huber-White robust standard errors are reported in brackets. *, **and *** mean significant at the 10%, 5%, and 1% level, respectively.

	OLS	IV
Log of (1+ articles in *Financial Times* or *Wall Street Journal*)	0.438***	0.855**
	(0.148)	(0.432)
Natural "newsworthiness"	0.051	−0.053
	(0.071)	(0.133)
Foreign ownership (%)	−0.111	−0.342
	(0.567)	(0.609)
EBRD as an investor dummy	0.288	0.275
	(0.221)	(0.248)
Log of assets	−0.048	−0.084
	(0.043)	(0.059)
Dummy for oil industry	−0.155	−0.234
	(0.187)	(0.190)
Controls for nature of violation		
Share issuance dummy	0.014	0.039
	(0.324)	(0.331)
Share swap dummy	−0.416	−0.462
	(0.336)	(0.416)
Bankruptcy dummy	−0.303	−0.291
	(0.392)	(0.414)
Reorganization dummy	−0.192	
	(0.435)	
Asset stripping dummy	0.760*	0.875**
	(0.387)	(0.395)
Other form of dilution dummy	0.104	0.239
	(0.318)	(0.333)
Maximum loss due to dilution	0.005*	0.005
	(0.003)	(0.004)
Maximum loss due to disenfranchisement	0.097	0.126
	(0.136)	(0.135)
Observations	94	94
R^2	0.22	0.148

Table VII

Hazard Estimates of the Probability of Reversal

This tables uses a Cox proportional hazard model to examine whether news coverage influences the timing of a reversal of a proposed governance violation. Duration is the time between the public's first recognition of the proposed violation and resolution (partial or complete), if there was resolution within 12 months. Our explanatory variable is the cumulative number of news stories that mention the violation (not including possible stories about the resolution) from announcement until that month. Column 1 includes as resolutions those observations where the resolution occurred within 6 months from the announcement. Column 2 also includes resolutions between 6 months and a year, with this time period collapsed as one additional observation. Robust standard errors are in brackets. *** indicates significant at the 1% level.

	Resolution within the First 6 Months	Resolution within First 12 Months
Cumulative number of stories in Anglo-American press	1.119***	1.096***
	(0.026)	(0.022)
Chi^2	24.5	20.4
Prob > Chi^2	0.00	0.00
Number of observations	560	560
Number of subjects	98	98

7.8 Figure 1: evolution of governance violations

Read:

- The figure plots the frequency of corporate governance violations over time.
- Violations decline over the sample period.
- The decline is especially visible among firms in which Hermitage had a stake at the beginning of the sample.

Economic message: The result is consistent with deterrence: insiders may learn that media exposure is costly and therefore commit fewer violations over time.

7.9 Table VIII: who acts to redress violations?

Read:

- Table VIII groups successful outcomes by the primary mechanism through which media pressure worked.
- Government regulators and courts account for a substantial share of positive outcomes.
- Business partners, private sector actors, company management, and rival business groups also matter.
- The table shows that media coverage works through multiple channels, not only formal regulators.

Economic message: Media pressure creates governance effects by activating reputational, regulatory, business, and political channels.

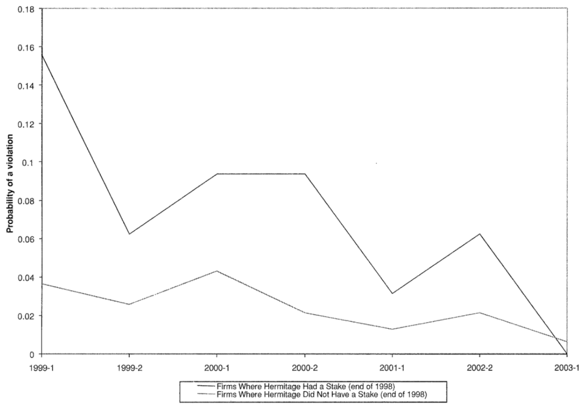

Figure 1. Evolution of the frequency of corporate governance violations in Russian firms. This figure plots the frequency of governance violations in two sub-samples of Russian firms. Source: Calculations are based on data from Troika Dialog, Hermitage Capital. The frequency in each semester is determined by dividing the total number of companies classified as corporate governance violators during that semester using companies identified by the Russian investment bank Troika Dialog in its weekly Bulletin on Corporate Governance Actions, over the period December 1998 to June 2002 by the total number of companies covered by Troika Dialog during the same period. The companies committing violations are those described in Table II. The first subsample consists of the companies in which the Hermitage Fund had a stake in at the beginning of the sample period (based on its portfolio as of the end of 1998), the second consists of the rest of the Russian companies followed by Troika Dialog in which Hermitage had no stake at the end of 1998

Table VIII
Who Acts to Redress Reported Corporate Governance Violations?

able we classify the successful outcomes according to the primary mechanism through which media pressure worked. Coding of the primary ism is based upon a reading of the Russian and English language press.

	Intervention by Government Actors		Private Sector Actors	
	Intervention of Regulators/ Courts	Political Intervention	Company Relents When Faced with Significant Opposition	Company Relents
	AvtoVAZ	Gazprom	KAMAZ	Chernogorneft
	Irkutskelectrosvyaz	RAO UES	KrAZ	GAZ
	Kuznetsk Ferrous Alloys	Sberbank	Ust-Ilimsk Timber	Gazprom
	Tomsk Refinery	Novoship	Viksunsk Pipe	Transneft
	Tomskneft		Bratsk Pulp	Rosshelf
	Yuganskneftegaz		KomiTEK	Bashkirenergo
	Sidanco		Volgotanker	
	Lomonosov Porcelain		VSMPO	
	Elektrosila			
	AVISMA			
of cases	10	4	8	6
age of cases with ve outcome	36%	14%	29%	21%

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	Irkutskelectrosvyaz	RAO UES	KrAZ	GAZ
	Kuznetsk Ferrous Alloys	Sberbank	Ust-Ilimsk Timber	Gazprom
	Tomsk Refinery	Novoship	Viksunsk Pipe	Transneft
	Tomskneft		Bratsk Pulp	Rosshelf
	Yuganskneftegaz		KomiTEK	Bashkirenergo
	Sidanco		Volgotanker	
	Lomonosov Porcelain		VSMPO	
	Elektrosila			
	AVISMA			
of cases	10	4	8	6
age of cases with ve outcome	36%	14%	29%	21%

8 Short summary

- The paper studies 98 serious Russian corporate governance violations from 1998 to 2002.
- The central question is whether media coverage can discipline insiders when legal enforcement is weak.
- Hermitage Capital appears to increase Anglo-American press coverage of violations in its portfolio companies.

- International press coverage is strongly associated with reversal or partial redress of violations.
- The effect remains after controlling for severity, firm visibility, ownership, EBRD involvement, and violation type.
- IV estimates using Hermitage's pre-period portfolio exposure support a causal interpretation.
- Hazard models show that cumulative press coverage accelerates reversal.
- Violations decline over time, especially among companies in which Hermitage held stakes, consistent with deterrence.
- The paper's incremental contribution is to establish media as a governance mechanism and to show how activists can use media strategically.

9 Conclusion

9.1 Core conclusion

Dyck, Volchkova, and Zingales show that media coverage can play a corporate governance role in an environment with weak legal enforcement. Anglo-American press coverage increases the probability that Russian governance violations are partially or fully redressed.

9.2 Economic intuition

Media coverage raises the cost of expropriation. It can damage a firm's international reputation, attract attention from regulators, mobilize business partners, and create public pressure on insiders. Activist investors such as Hermitage can exploit this mechanism by bringing violations to the attention of credible international journalists.

9.3 Incremental contribution

The paper's key contribution is to connect three literatures: corporate governance, media economics, and shareholder activism. It shows that media can be more than an information intermediary; it can be an enforcement technology. It also shows that investors can strategically generate media coverage, and that such coverage affects governance outcomes.

9.4 Takeaway

In weak institutional environments, corporate governance may rely on informal enforcement through reputation and publicity. The press can substitute partially for courts, but its effectiveness depends on credibility, audience, and the ability of investors to direct attention to abuses.